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Weathering the Trade Tsunami

India needs to strengthen trade relations with countries other than the United States on the basis of multilaterally agreed rules while dealing bilaterally with America itself

The headlines of the past week were dominated by President Donald Trump as he imposed a blanket 10 per cent tariff on all countries, with 57 of them singled out for much higher and varying rates. The unilateral imposition of different tariffs on different countries violated the "most favoured nation" clause of the world trading system, which prohibits discrimination across countries except as part of a free trade arrangement.

This raised the prospects of a full-scale trade war, which roiled stock markets across the world. President Trump then pulled back at the last minute with a 90-day reprieve for countries that had not reacted while holding out additional threats for those that did react. As a result, China, which did react, is saddled with a tariff of 125 per cent! The European Union held back the retaliation it had announced, so it has avoided immediate additional damage.

While the reprieve is welcome, the across-the-board 10 per cent tariff remains and there is uncertainty about what will happen after 90 days. President Trump believes that the US is the most open economy in the world but is treated unfairly by its trading partners. The US does have much lower tariffs than others, but this differentiation was agreed to by the US itself in multilateral trade agreements. The US also has concerns on several other areas and these will no doubt be part of the negotiations. The discussions will all be bilateral—President Trump has no faith in multilaterally negotiated rules.

What should India do? We are currently engaged in bilateral Indo-US talks that were initiated following the Trump-Modi meeting in Washington DC in February. We should hope that our negotiators will be able to persuade the US to reconsider its position. The critical issue will be whether we are willing to lower our tariffs. As a general rule, we should resist action under pressure. However, in this instance, there is a good case for lowering tariffs because they are too high for our own good. Reducing our high tariff levels would reduce domestic production costs and improve our competitiveness. Small- and medium-scale industries will be the biggest beneficiaries because they purchase intermediate goods produced by large industries in India, which are able to charge high prices because of protection.

Those who worry that lower import duties will hurt the ability of Indian industry to compete with imports should be persuaded that this can be countered through appropriate exchange rate policy. A reduction in import duties of, say, five percentage points can be offset by an exchange rate depreciation of five percentage points so that the domestic producer facing competition from imports is not disadvantaged. What is more, the depreciation will benefit all exporters by assuring them higher rupee earnings.

It should not be difficult to identify items on which tariffs can be lowered because we are currently negotiating Free Trade Agreements (FTAs) with the EU and the UK, which will involve lower tariffs. Some of these could also be offered to the US as part of a deal in which the US withdraws the Trump tariffs.

In a world threatened by geopolitical fragmentation, it is especially important to evolve a trade policy tailored to the situation.